

Segment 4 : Business Policy and Decesion Making

Topic 1 : Business Policies

Topic 2 : Policy, Process and Procedure

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1.1 Introduction

Every company exists to make a profit -- and the principles by which it will be run are closely related to that reason. These concepts are referred to as Policy in the corporate world. A policy is a course or principle of action adopted or proposed by an organisation or individual.

Every business needs to have standards that are enshrined in policy. Policy is a set of rules for making decisions, not a final judgement. It is a term used in the business world to describe a set of principles.

STUDY NOTE

A collection of people who get together to pursue a shared objective is referred to as an organisation.

An organisation is made up of a large number of employees. There is a clear distinction between management and ownership. As a

result, it becomes necessary to establish guidelines for management and employees to run a firm.

The top management establishes broad parameters, or basic limitations, within which managers can conduct business. Policies are the broad principles that govern all employees' thoughts and actions.

A business policy is a set of guidelines and a road map for any organisation to follow. It ensures that companies provide the desired quality of products and services, and customer satisfaction, within a set of guidelines. It supports, promotes, and improves an organisation's performance.

In this chapter, you will learn more about business policy and related concepts in business management. We will also discuss the arguments in favour of a company policy and the application of policies in a business.

Learning Objectives

After studying this chapter, you will be able to:

- Elucidate a policy's purpose and its characteristics
- Describe how to distinguish between policies, procedures, processes, and programmes
- Discuss the many types of policies and policy statements a company may create
- Determine how corporate culture influences policy formulation

1.2 Overview of Business Policy

The term, policy, comes from the Greek word politeia, which means governance or policy. The leader frames policies in an authoritarian system. However, policies are defined by the people in a democratic system.

According to Flipppo, the policy is a man-made rule of a pre-determined course of action designed to direct the execution of work toward an organisation's purpose. It is a sort of standing plan that instructs subordinates on how to do their tasks.

According to George R. Terry, the policy is defined as: a spoken, written, or inferred overarching guidance putting up boundaries that give the broad bounds and directions in which administrative operations will take place.

It is impossible to consult senior management about a course of action to be taken every time the need arises. Policies define the parameters within which

subordinates can make decisions. Lower-level management can address situations by referring to these principles in a company.

STUDY NOTE

The scope or domains within which in an organisation can make choices are defined by business policy.

Any and every type of company action can be the subject of a policy. It could be related to goods, pricing, advertising, finances, and so

on. A policy statement is a document that codifies such principles. The stakeholder's and top management's thinking is reflected in policies.

Simply put, a policy is what an organisation or employee plans to do or does. As a result, business policy refers to what a company plans to accomplish. Its purpose is to help an organisation offer services that satisfy the demands and expectations of a company's goals.

It allows junior-level management to deal with difficulties and concerns without having to engage senior-level management every time a decision has to be made. The standards that an organisation develops to regulate its operations are known as business policies. Importantly, these set boundaries around which decisions must be made. Business policy also addresses the requirement of resources necessary to fulfil corporate objectives.

A company policy is an implicit overarching guide that establishes boundaries that provide a general limit and direction for managerial activity. A business policy is one that focuses on the distribution of limited resources strategically.

A company's business policy reflects the management's thinking on attaining goals in the current economic and social environment as it helps management align an organisation's activity to its business environment.

1.2.1 Features of a Business Policy

In company management and administration, policy is critical. It aids management in achieving organisational objectives. It supports a company's operations to be efficient and cost-effective. To this end, everyone in an organisation should be able to comprehend the policy, which therefore needs to be clear, positive, and specific.

The type of company policy followed in an organisation is determined by an organisation's goals and objectives. The key features of a policy are as follows:

- A. Simple and Clear:** A policy should be clear, simple and free of ambiguity. It is written in an easy-to-understand language, avoiding technical jargon. This will help line managers and other employees to read policies correctly.
- B. Adaptable:** Policies need to be adaptable, which should be reviewed, changed, or amended on a regular basis. Remember, a policy is expected to be in effect for a long period. Being adaptable will make a policy practical to be applied in different situations.
- C. Uniformity:** A policy must be uniform. Consistency, especially across functions and management levels, allows employees to operate efficiently while dealing with repeated issues.
- D. Relevance:** Policies are relevant to an organisation's goals. They are relevant to the present business environment and applicable in different scenarios.
- E. Comprehensive:** A policy covers a broader range of business activities, leaving no concern unaddressed. A thorough policy statement ensures flexibility in decision-making. This also prevents line managers from approaching senior management unnecessarily.

F. Long-Term: A policy exists on a long-term basis. It has to address business goals, which in turn are long-term.

1.2.2 Importance of Business Policy

Well-articulated policies provide significant benefits to an organisation. They help make judgments within a clear set of parameters. Managers can operate efficiently, not requiring close monitoring by senior management. The following are some points that illustrate the importance of business policy:.

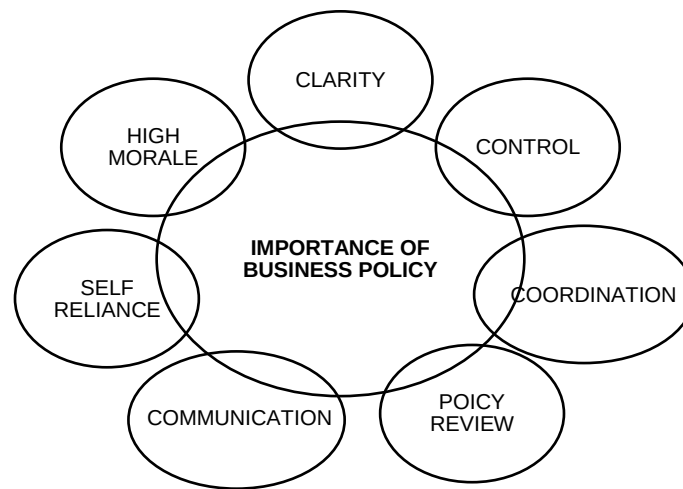


Fig 1: Importance of Business Policy

- A. Regulation and Management:** Policies make it easier to manage and control an organisation's operations effectively. These help in the supervision and control over managers at various levels without interfering with their daily operations.
- B. Clear Communication:** Policies are typically written down, well-drafted statements. This reduces the risk of misunderstanding or misinterpretation. Policies ensure there is no room for personal prejudice and bias.
- C. Policy Review:** It's important to review policies on a regular basis to ensure that they're still relevant in the current situation. Regular policy reviews allow for the anticipation of future conditions and situations, as well as the resolution of how to deal with them.

- D. Coordination and Efficiency:** Policies ensure that functional activities at all levels of the organisation are coordinated. The actions and responsibilities are assigned in such a way that all functions of an organisation, from operations to support, are successfully integrated.
- E. High Morale of Employees:** Well-defined policies allow employees to work towards a common goal at all levels. This helps build trust and boosts an organisation's overall morale.
- F. Understanding the Business Environment:** When policies are framed after many deliberations, they help the entire organisation relate to the business and the environment they work in. Especially the challenges and the changes. This helps the entire organisation understand the big picture.

1.3 Types of Business Policies

There are numerous classifications for business policy. These classifications have many bases, which are as follows:

- A. Nature of Origin:** The policymakers define these types of policies. These, again, have many sources, as listed below:
 - **Developed by Managers:** This type of policy is created by top management or experienced managers. The aim is to set rules and regulations for junior employees. For example, a marketing director may develop policies and then delegate the execution to junior executives.
 - **Imposed by State:** A policy that is imposed by external forces, such as the governments at the national or state levels. Business organisations are bound by these policies. For example, the Ministry of Labour develops labour policies that are binding on businesses.
 - **Appeals:** When a unique situation arises, managers may appeal to their superiors for assistance in resolving the issues. In that case, policies are designed to deal with the current unexpected situation. Regular policies may obstruct job performance in such a situation. The new appealing policy may also be replaced with the older policies.
- B. Structure of an Organization:** This type of policy is made by an organisation for itself for internal and external compliance. These are as follows:

- **Internal Policy:** The management of any organisation creates internal policies that serve as guidelines for employees. These are the norms and boundaries that subordinates must follow. These internal policies provide the working environment and cover functions from recruiting and selection to budgeting, marketing, and so on.
- **External Policy:** These policies are designed to address external issues. Organisations rethink or formulate new policies in response to environmental conditions or influences. For example, changes in pollution norms imposed by the state government can compel organisations to rethink their environmental policy to comply with the new standards.

C. Mode of Communication:

- **Written Policy:** Written policies are policies that are communicated as written statements. A written down policy eliminates ambiguity and misunderstanding.
- **Verbal Policy:** A verbal policy is one that is issued solely by word of mouth. In comparison with written policies, these policies are simple to explain and implement. On the flip side, being unwritten means these may be confusing and often create ambiguity.
- **Implied Policy:** Implied policy must not be written or conveyed verbally. Such policies can be deduced from subordinates' or seniors' actions. They are not stated explicitly. For example, a company may create items at a price range that is affordable to the middle class. This may imply that the company's policy is to serve those in the middle class.

D. Levels of Importance:

- **Basic Policy:** This refers to a company's overall ideology. The senior management sets the basic policies.
- **Major Policies:** These policies deal with the most important concerns of the organisation.
- **Minor Policy:** Minor policies are established to deal with everyday issues. For example, for managers on the front lines, these might be related to the amount and timing of discounts.

E. Scope of the Project:

- **General Policy:** The middle management sets the tone for these policies.
- **Specific Policies:** Specific policies are policies that are not broad in nature.
- **Directive Policy:** When decentralised, discretion is not possible. Or when it may be detrimental to a company's overall interests, a directive policy is required.

F. Management Levels:

- **Top Management Policies:** These policies cover long-term planning in general. The senior-most management makes the policies. For example, policies related to budgeting and product launches.
- **Upper Middle Management Policies:** The departmental head decides on these policies in tandem with an organisation's primary policies.
- **Middle Management Policies:** These policies are set by the junior managers. These policies could be related to sales, financing, and so on.

G. Situational Needs:

- **Standard Policy:** Standard policies are framed to guide employees in their day-to-day functional activities. These policies serve as a guide for employees, especially in dealing directly with customers.
- **Contingent Policy:** These policies assist subordinates in dealing with ambiguous and unusual situations.

H. Administrative and Functional:

- **Administrative Policy:** These policies deal with an organisation's administration. It covers a wide range of administrative subjects. These are required to regulate the workforce.
- **Composite Policy:** A composite policy is created by combining all the policies each department has submitted. Each department in an organisation presents its policy to the budget officer, who coordinates

the preparation of a unified statement. The term 'Composite Policy' refers to a policy statement that the Board has adopted.

- **Supplementary Policy:** Supplementary policy addresses issues not addressed by the composite policies.
- **Departmental Policy:** Departmental policies are policies created by individual departments for their daily operations — for example, Personal Department's Policy.

Activity 1

Visit different organisations. Find out which type of policies discussed above do they follow in different situations.

1.4 Definitions: Policy, Procedure, Process, and Program

Policy: Policy, according to Ralph Devis, is a declaration of a concept or set of principles, along with their accompanying norms of conduct, that conditions and controls the attainment of specific corporate objectives.

The management's goals are expressed in a policy. It establishes the parameters within which decision-makers must work. Policy is a type of planning that serves as a guide for making administrative choices and outlines how things should be done.

Procedures: Procedures detail the processes required to complete a task. Procedures are a set of instructions that must be followed in a certain order. For example, each company has its own system for processing orders, collecting payments, and providing after-sales assistance. Procedures are used to show how every task can be completed. They are the vehicles through which decisions are carried out. Procedures should be examined and modified on a regular basis. This results in simplifying and streamlining work, efficiency, and cost savings.

A process statement is more precise and concrete than a policy declaration. It emphasises the order in which specific tasks are carried out.

Let us now understand the distinction between policy and procedures, as shown in Figure 2:

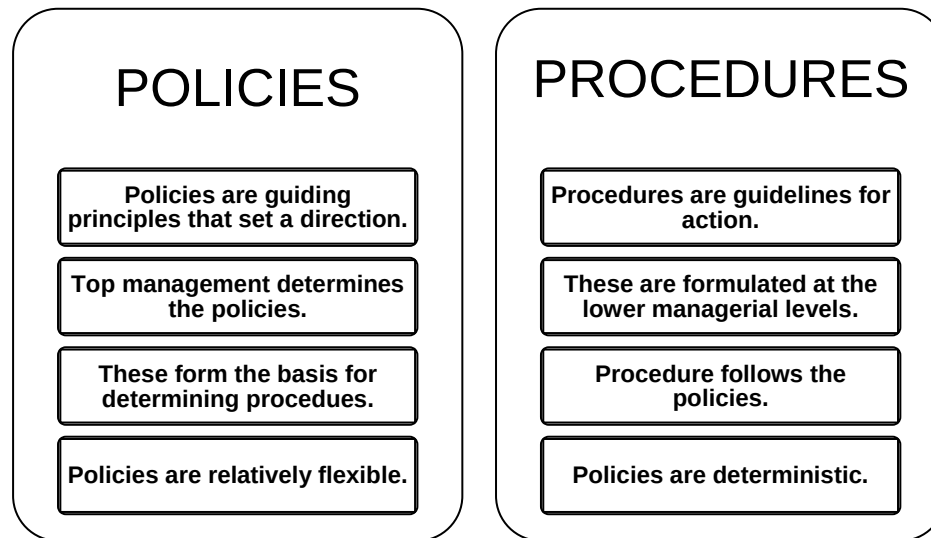


Fig 2: Difference between Policies and Procedures

Process: A process is a set of actions followed to achieve a certain goal in a consistent and repeatable manner. A process defines the big picture of the flow of activities. Process is a detailed analysis of every step in order; hence it covers all the aspects and fields of the work within the organisation, and so it emphasises one of the most important aspects of the business. These aspects are captured in a procedure which also includes additional information regarding functional rules, objectives, and methods in depth.

Program: According to the Oxford Dictionary, a program is: A series of connected measurements or activities having a specific long-term goal—for example, a comprehensive reform program. According to Business Dictionary, a program is A plan of action intended to achieve a defined corporate target, including information on what work is to be done, by whom, when, and what methods and resources will be used

1.5 Policy Statement

Companies outline their expectations of employee behaviour in a policy statement. Workplace behaviour may be divided into two categories: work behaviour and personal behaviour. By defining standards, a policy statement establishes expectations of employee behaviour. Everyone in the organisation is expected to follow these guidelines in the letter.

According to Business Dictionary, a policy statement is A formal document detailing how a company plans to handle its affairs and act in certain circumstances. According to Collins Dictionary, a policy statement is an organisation's (or government's) objectives and intentions.

A policy statement is a document that also specifies unacceptable techniques or behaviours at the organisational level. A policy essentially outlines the method of how things are done in a company. Employees may be required to acknowledge some policy statements. All employees will follow it.

According to Business Dictionary, a policy statement is A formal document detailing how a company plans to handle its affairs and act in certain circumstances.

The following is an example of a policy statement:

Raymond Corporation's Environmental Policy

The Raymond Corporation recognises its responsibility to be a good steward of the environment and contribute to a more sustainable planet. Across our organisation, we work to minimise our direct and indirect impacts on the environment. This commitment is integral to our corporate culture and business strategy.

Our environmental policy objectives include:

- Comply with all applicable environmental regulations
- Implement and maintain environmental management systems to continually improve and enhance environmental performance.
- Review processes and procedures to reduce consumption of natural resources and minimise potential environmental impacts.
- Reduce energy consumption and greenhouse gas emissions.
- Provide a safe and healthy workplace.
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- Review processes and procedures to reduce consumption of natural resources and minimise potential environmental impacts.
- Reduce energy consumption and greenhouse gas emissions.
- Provide a safe and healthy workplace.
- Engage suppliers, partners, customers, employees, and other stakeholders to promote our environmental objectives and targets.
- Incorporate environmental considerations into the design process for the life cycle of our products.

Fig 3: Policy Statement of Raymond Corporation's Environmental Policy

Source: < <https://www.raymondcorp.com/about-us/quality> >

Making a Policy Statement

The steps involved in making an organisation's policy statement are as follows:

- Examine an organisation's goals in depth.

- Determine if a policy is required in a certain region.
- Find and collect all relevant information.
- Consider all options, especially those that are most important to the policy.
- Analyse all probable outcomes.
- Choose the best policy statement, considering the various outcomes.
- Corroborate with the employees and anyone who may be impacted by it.
- Ascertain that the policy is consistent with an organisation's other policies.
- Finalise the policy statement specifying the validity dates

Activity 2

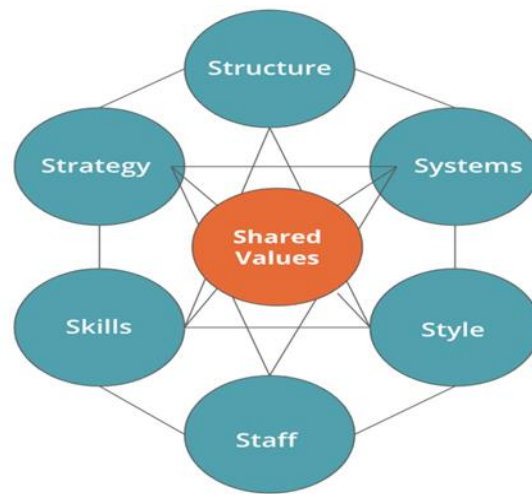
Search various policy statements issued by corporations.

Find out the causes for implementing any policy, its consequences and impact on organisation operations and human resources.

1.6 Corporate Culture

The set of assumptions, beliefs, values, and conventions held by an organisation's members is referred to as organisational culture. Culture is typically unwritten or implicit ideas, attitudes, and beliefs rather than declarations. It is important to understand the influence of an organisation's culture on policy formation.

Culture is represented by the seventh S, Shared Values, in the McKinsey 7-S framework model. Tom Peters and Robert Waterman, two consultants at McKinsey & Company, established this model. They identified seven internal.



Organisational Culture

The combined Values, attitudes, and feelings, among other things, is the most essential element of corporate culture. Values, beliefs, and conventions manifest in power hierarchies, routines, and the general working in an organisation. These are often part of a long evolutionary process.

Work ethics and culture followed by the senior management may impact employee behaviour and communication.

A strong work culture has a favourable influence on an organisation's productivity, efficiency, growth, and overall performance. On the other hand, a poor work culture may hamper productivity, growth, and in meeting an organisation's goals and objectives. A weak culture fosters opposition to change and impedes policy development and execution.

Therefore, Policymakers need to foster a healthy corporate culture. Policy formation is usually easier when the organisational culture is strong.

Note that business culture is rooted in the social fabric of a country or region. The cultural legacy of a country influences the overall cultural context in which companies operate. Organisations need to build their own business and work cultures in this context.

Many businesses prioritise developing a strong corporate culture. Researchers continue to look at strategies to build and design a healthy

organisational culture that is positive and supportive of an organisation's philosophy and goals.

Example-Organisation culture of Google

Google is an amazing employer. It was the first to launch many of the perks and benefits that startups are now known for. Google employees are synonymous with drive, talent and a motivated workforce.

We have learnt about various concepts in introducing business policy. Figure 4 shows an overview of the concepts learnt so far

1.7 Conceptual Map

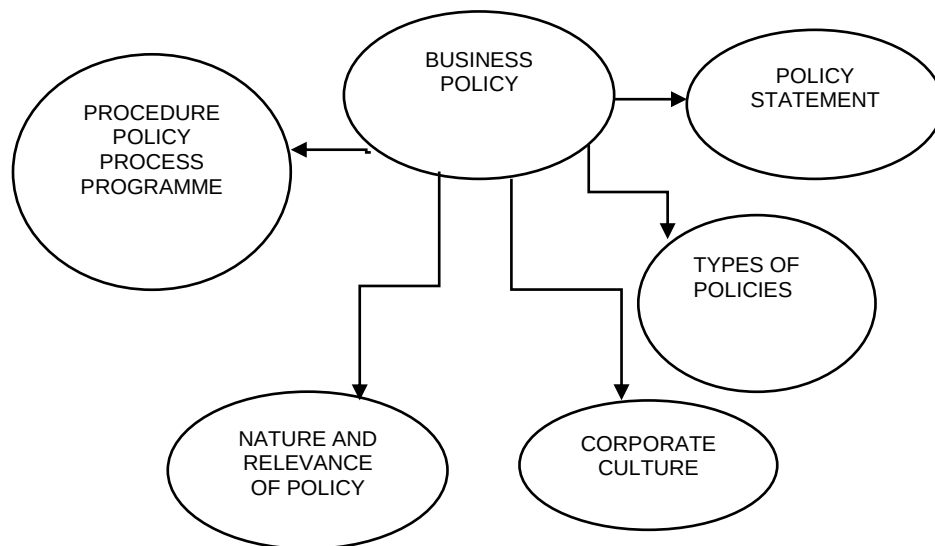


Fig 4: Conceptual Map

1.8 Summary

Let us recapitulate the important concepts discussed in this topic:

- Policy is a set of rules for making decisions, not a final judgement.
- A company policy is an implicit overarching guide that establishes boundaries and direction for managerial activity.
- A policy should be as clear, unambiguous, adaptable, and stable.

- It is important to review policies regularly to ensure they are relevant in the current situation.
- There are numerous classifications for business policy, and these are on the basis of origin, structure, situational needs, mode of communication, importance, scope of project, management level, administrative and functional level.
- Procedures are used to show how each of the regular tasks in an organisation can be completed.
- A process statement is more precise and concrete than a policy declaration.
- By defining standards, a policy statement establishes expectations of employee behaviour.
- Values, beliefs, and assumptions manifest in power hierarchies, routines, and rituals, among other things.
- Policymakers need to recognise an organisation's culture and foster a healthy one while developing policies.
- Researchers study strategies to design a healthy organisational culture.

1.9 Glossary

- **Composite Policy:** A policy created by combining all the policies that each department has submitted.
- **Procedures:** Procedures are a set of instructions that must be followed in a certain order.
- **Policy:** Policy is a spoken, written, or inferred overarching guidance putting up boundaries that give directions.
- **Process:** Set of actions used to achieve a certain goal in a consistent and repeatable manner.
- **Program:** A series of connected measurements or activities having a specific long-term goal.

- **Policy Statement:** A formal document detailing how a company plans to handle its affairs and act in certain circumstances

1.10 Case Study

Unilever, the world's second-largest consumer goods company, received a jolt in 2004 when its stock price fell sharply after management warned investors that profits would be below anticipated. Even though the company had been the first consumer goods company to enter the world's emerging economies in Africa, China, India, and Latin America with a formidable range of products and local knowledge, its sales faltered when rivals began to attack its entrenched position in these markets. Procter & Gamble's (P&G) acquisition of Gillette had greatly bolstered P&G's growing portfolio of global brands and allowed it to undermine Unilever's global market share. For example, when P&G targeted India for a sales initiative in 2003–04, profit margins fell at Unilever's Indian subsidiary from 20% to 13%.

An in-depth review of Unilever's brands revealed that its brands were doing as well as were those of its rivals. Something else was wrong. According to Richard Rivers, Unilever's head of corporate strategy, "We were just not executing as well as we should have." Unilever's management realised it had no choice but to make over the company from top to bottom. Over decades of operating in almost every country in the world, the company had become fat with unnecessary bureaucracy and complexity.

Unilever's traditional emphasis on the autonomy of its country managers had led to a lack of synergy and duplication of corporate structures. Country managers had been making strategic decisions without regard for their effect on other regions or the corporation. Starting at the top, two joint chairmen were replaced by one sole chief executive. In China, three companies with three chief executives were replaced by one company with one person in charge. Overall staff was cut from 223,000 in 2004 to 179,000 in 2008. By 2010, management planned close to 50 of its 300 factories and to eliminate 75 of 100 regional centers. Twenty thousand more jobs were selected to be eliminated over a four-year period. Ralph Kugler, manager of Unilever's home and personal care division, exhibited that the company was better prepared to face competition after these changes. "We are much better organised now to defend ourselves," he stated.

Discussion Questions:

1. Discuss about the corporate strategy used by Unilever to face the competition.
2. Discuss about other corporate strategies used by different MNCs to cope up with changing business environment.

Source: Summarised from, The Legacy that Got Left on the Shelf, The Economist (February 2, 2008)

Business Policies are influenced by ____ sets of factors.

Ans: Two sets.

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